measures without a link to the monetary policy stance. A rate cut, on the other hand, was a decisive shift in the policy regime.

Within the Reserve Bank itself, opinion within the top management was divided on the rate cut. The majority view among my top advisers was that a rate cut was uncalled for and that we could ride out the crisis without a change in the monetary policy regime. However, I agreed with and accepted the minority view that the uncertainty and unpredictability in the markets was choking credit flow and that more than the rate cut itself, the fact that we were reversing the monetary policy regime would send a strong signal to the markets about the Reserve Bank's resolve to preserve financial stability, restore market confidence and improve credit flow.

The markets generally welcomed the rate cut, and analysts endorsed it as being consistent with our earlier liquidity-easing measures. But there was criticism in certain quarters both for its timing—just four days before a scheduled policy review—and for the way we nuanced the policy rationale by emphasizing financial stability more than growth and inflation.

I could see where the critics were coming from but could not agree with them. Sure, making a major policy shift just four days before a scheduled policy review was an unusual decision, but then we were handling an unusual situation, and my honest judgement was that waiting for another four days would be costly at a time when the markets were gripped by uncertainty and fear about developments in advanced economies. Besides, we also calculated that in the prevailing global context, the signalling impact of an unscheduled policy announcement would be substantial. Similarly, the relative de-emphasis on growth and inflation concerns in explaining the policy rationale was deliberate inasmuch as the motive for the unscheduled and hurried action derived from preserving financial stability.

Why did our critics not see it the way we did? There is always an information asymmetry between a regulator and the regulated institutions, and even more so between a central bank and the external world of analysts and markets. In the prevailing situation, there was more than the usual share of it. From within the Reserve Bank, we were getting a lot of information